IN THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
COURT-V

Item No.-102

CA (CAA) No. 39/230/232/ND/2023

IN THE MATTER OF:

Ebix Technologies Pvt. Ltd. **....Applicant**

SECTION

U/s 230-232 **Order delivered on 24.08.2023**

CORAM:

SHRI MAHENDRA KHANDELWAL,
HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA,
HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

Order pronounced in open Court vide separate sheets. CA (CAA) No. 39/230/232/ND/2023 is **allowed**

Sd/- **Sd/-**

(DR. BINOD KUMAR SINHA)
MEMBER (T)

(MAHENDRA KHANDELWAL)
MEMBER (J)

NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT- V)

C.A.(CAA)-39/ND/2023

An Application under section 230 read with section 232 of the Companies Act, 2013, read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and other applicable provisions of law

IN THE MATTER OF SCHEME OF AMALGAMATION:

AMONGST

EBIX TECHNOLOGIES PRIVATE LIMITED
(CIN: U72900DL2014PTC392060)
Address: D21, Flat No. 101, First Floor, 4832/24 Ansari Road, Darya Ganj, New Delhi- 110052

... Transferor/Applicant Company-I

AND

EBIXCASH FINANCIAL TECHNOLOGIES PRIVATE LIMITED
(CIN: U72200DL1999PTC391893)
Address: D21, Flat No. 101, First Floor, 4832/24 Ansari Road, Darya Ganj, New Delhi- 110052

... Transferor/Applicant Company-II

WITH

EBIXCASH LIMITED
(CIN: U72900DL2002PL392081)
Address: D21, Flat No. 101, First Floor, 4832/24 Ansari Road, Darya Ganj, New Delhi- 110052.

... Transferee/Applicant Company-III

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Pronounced on: 24.08.2023

Section: 230 to 232 of the Companies Act, 2013

CORAM:

SHRI MAHENDRA KHANDELWAL, HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

PRESENT

For the Applicant **:** Sr. Adv. Mr. Krishnendu Datta,
Mr. Sanjeev Jain

ORDER

PER: DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

1. This is a joint application filed by the applicant companies herein, Ebix Technologies Private Limited (Applicant /Transferor Company No. 1),

Ebixcash Financial Technologies Private Limited (Applicant/Transferor Company No. 2) and Ebixcash Limited (Applicant/Transferee Company) (hereinafter jointly referred to as the "Applicant Companies") under Section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Amalgamation (hereinafter referred to as the "SCHEME") proposed between the applicants.

2. Affidavit in support of the above application is sworn by Mr. Vikas Verma, being the authorized signatory of the Applicant/Transferor Company No.1, Applicant/Transferor Company No.2 and Applicant /Transferee Company No. 3. It was also represented that the registered office of the applicant companies is under the domain of Registrar of Companies, NCT of New Delhi & Haryana and within the territorial jurisdiction of this Tribunal.

3. The Applicant Transferor Company No. 1, EbixCash Technologies Private Limited (CIN: U72900Dl2014PTC392060) is a private limited company registered under the provisions of Companies Act, 2013 and having its Registered Office at Flat No. 101 First Floor, 4832/24, Ansari Road, Darya Ganj, New Delhi- 110002. The Applicant Transferor Company No.

1 was incorporated on 11.07.2014 as "R Systems Products & Technologies Limited" under the Companies Act, 2013. Thereafter, the Applicant Transferor Company No. 1 was converted from a public limited Company into a private limited company on 28.05.2015. With effect from 19.08.2015 the name of the Applicant Company No. 1 was changed to "Indus Software Technologies Private Limited. Thereafter, the name of Applicant Company No. 1 was further changed to "Ebix Technologies Private Limited. Initially, registered address of the Applicant Company No. 1 was at Taluka Mulshi, Pune, Maharashtra- 411021. Subsequently, registered address of the Applicant Company No. 1 was shifted from State of Maharashtra to NCT of Delhi on 05.01.2022. The Authorized Share Capital of the Transferor Company No. 1 is Rs. 6,25,00,000 divided into 6,25,00,000 Equity Shares of Rs. 1/- each. The present issued, subscribed and paid-up share capital of the Company is Rs. 6,12,00,003 divided into 6,12,00,003 Equity Shares of Rs. 1/- each.

4. The Applicant Transferor Company No. 2, EbixCash Financial Technologies Private Limited (CIN: U72200DL1999PTC391839) is a private limited company registered under the provisions of Companies Act, 2013 and having its Registered Office at Flat No. 101 First Floor, 4832/24, Ansari Road, Darya Ganj, New Delhi- 110002 The Applicant Tranferor Company No. 2 was incorporated on 26.03.1999 as "Miles

Software Solution Private Limited" under the Companies Act, 1956. With effect from 09.02.2021 the name of the Applicant Company No. 2 was changed to "EbixCash Financial Technologies Private Limited. Initially the registered office of the Applicant Company- 2 was at Suraksha Ace, 6th floor, 34/3, Andheri Kurla Road, JB Nagar, Andheri East Mumbai, Maharashtra- 400059. Subsequently, registered address of the Applicant Company No. 2 was shifted from State of Maharashtra to NCT of Delhi on 31.12.2021. The Authorized Share Capital of the Applicant Company No. 2 is Rs. 13,20,000 divided into 1,32,000 Equity shares of Rs. 10/- each and the authorized Convertible Preference Capital 4,30,000 divided into 43,000 Participatory, cumulative, Compulsorily Convertible Preference Share of Rs. 10/ each. The present issued, subscribed and paid-up share capital of the Company is Rs. 12,92,520 divided into 1,29,252 Equity Shares of Rs.10 each.

5. The Applicant Transferee Company, EbixCash Limited (CIN: U72900DL2002PLC392081) is an unlisted public company registered under the provisions of Companies Act, 2013 and having its Registered Office at Flat No. 101 First Floor, 4832/24, Ansari Road, Darya Ganj, New Delhi- 110002. The Applicant Transferee Company was originally incorporated on 26.04.2002 as "Ebix Software India Private Limited" under the Companies Act, 1956. With effect from 02.02.2022 the name

of the Applicant Transferee Company was changed to "EbixCash Limited. Initially, registered address of the Transferee Company was Plot No. 122 &123, NSEZ, Phase-II, Noida- 201305 (Uttar Pradesh). Subsequently, registered address of the Applicant Transferee Company was shifted from State of Uttar Pradesh to NCT of Delhi on 28.02.2015. The Authorized Share Capital of the Applicant Transferee Company is Rs. 1,75,00,00,000 divided into 1,75,00,00,000 Equity shares of Rs. 1/- each. The present issued, subscribed and paid-up share capital of the Company is Rs. 93,97,51,520 divided into 93,97,51,520 Equity Shares of Rs.1/- each.

6. The Transferor Companies as well as the Transferee Company have filed their respective Memorandum and Articles of Association inter alia delineating their object clauses, as well as their last Audited Annual Accounts.

7. The Transferor Company I, Transferor Company II and Transferee Company, vide their meeting of the Board of Directors held on 7.12.2022, 9.12.2022 and 19.12.2022 respecting have unanimously approved the proposed Scheme of Amalgamation as contemplated above. Copies of said resolutions passed in the said board meetings have been placed on record.

8. It has been stated that the Applicant Transferor Company 1 has 7 (Seven) Equity Shareholders, 08 (Eight) Unsecured Creditors and 1 (One) Debenture Holder. Certificate from Chartered Accountants certifying list of shareholders was annexed and all of them have given their respective consents for dispensation of the holding of the meeting of its Equity shareholders by way of affidavits which were annexed to the application. It was further represented that the Applicant Company No. 1 has nil Secured Creditors and Preference shareholder. In relation to the Equity Shareholders, Unsecured Creditors and Debenture Holder , it seeks dispensing with holding/convening of the meetings as their consent affidavits were placed on record. Since the Company has nil Secured Creditors and Preference shareholder, therefore, the necessity of convening/holding a meeting does not arise.

9. It has been stated that the Applicant No. 2/Transferee Company has 07 (Seven) Equity Shareholders and 08 (Eight) Unsecured Creditor. Certificate from Chartered Accountants certifying list of shareholders was annexed and all of them have given their respective consents by way of affidavits which were annexed to the application. It was further represented that the Company has nil Preference Shareholders, nil Debenture Holder and nil Secured Creditors. In relation to the Equity Shareholders and Unsecured Creditor, it seeks dispensing with

holding/convening of the meetings as their consent affidavits were placed on record. Since the Company has nil Preference Shareholders, nil Debenture Holder and nil Secured Creditors, therefore, the necessity of convening/holding a meeting does not arise.

10. It has been stated that the Applicant No. 3/Transferee Company has 7 (Seven) Equity Shareholders and 77 (Seventy Seven) Unsecured Creditors. Certificate from Chartered Accountants certifying list of shareholders was annexed and all of them have given their respective consents by way of affidavits which were annexed to the application. It was further represented that the Company has nil Preference Shareholders, nil Debenture Holder and nil Secured Creditors. In relation to the Shareholders, it seeks dispensing with holding/convening of the meetings as their consent affidavits were placed on record. Since the Company has nil Preference Shareholders, nil Debenture Holder and nil Secured, therefore, the necessity of convening/holding a meeting does not arise.

11. Further the petitioners submitted that the amalgamation of the Transferor and the Transferee Company will give the consolidated company better finances and facilitate adequate resources mobilization to sustain growth. It will enable the Transferee Company to participate more vigorously and profitably in an increasingly competitive and

liberalised market. It will improve operational efficiency, integrated management functioning and will enhance share value for the benefit of shareholders of the existing entities.

12. The Applicant Companies confirmed that the provisions relating to the accounting treatment for the proposed amalgamation, as contained in the Scheme, were in conformity with the applicable provisions of the Companies Act, 2013.Certificates from respective Statutory Auditors of the Companies on the accounting treatment, as proposed in the Scheme, were annexed to the application and it is clearly stated that the accounting treatment is in conformity with the Accounting standards prescribed under Section 133 of Companies Act,2013

13. The Applicant Companies have stated that no proceedings for inspection, inquiry or investigation were pending against any of the Applicant Companies.

14. Taking into consideration the submissions and the documents filed therewith, the following directions are issued with respect to convening/holding or dispensing with the meetings of the Shareholders, Secured and Unsecured Creditors as well as issue of notices including by way of paper publication as follows:

I. In relation to the Applicant Transferor Company No. 1:

a) **With respect to Equity shareholders:** In view of consent affidavits from 07 equity shareholders, having 100% voting share, been filed, convening the meeting of shareholders/members is dispensed with.

b) **With respect to Preference Shareholders**: There are nil Preference Shareholders, therefore, the necessity of convening meeting does not arise.

c) **With respect to Debenture Holder**: In view of consent affidavits from the sole i.e 1 Debenture Holder, having 100% voting share, been filed, convening the meeting of shareholders/members is dispensed with.

d) **With respect to Secured Creditors**: There are nil Secured Creditors, therefore, the necessity of convening meeting does not arise.

e) **With respect to Unsecured Creditors**: In view of consent affidavits from 6 (Six) Unsecured Creditors out of 8 (eight) Unsecured Creditors, having 99.05% voting share, been filed, convening the meeting of shareholders/members is dispensed with.

II. In relation to the Applicant Transferor Company No. 2:

a) **With respect to Equity shareholders**: In view of consent affidavits, from 07 equity shareholders, convening the meeting of shareholders/members is dispensed with.

b) **With respect to Preference Shareholders**: There are nil Preference Shareholders, therefore, the necessity of convening meeting does not arise.

c) **With respect to Debenture Holder**: In view of consent affidavits from the sole i.e 1 Debenture Holder, having 100% voting share, been filed, convening the meeting of shareholders/members is dispensed with.

d) **With respect to Secured Creditors:** There are nil Secured Creditor, therefore the necessity of convening a meeting does not arise.

e) **With respect to Unsecured Creditors**: In view of consent affidavits from 5 (Five) Unsecured Creditors out of 8 (eight) Unsecured Creditors, having 99.63% voting share, been filed, convening the meeting of shareholders/members is dispensed with

III. In relation to the Applicant Transferee Company:

a. **With respect to Equity shareholders**: In view of consent affidavits, from 07 equity shareholders, convening the meeting of shareholders/members is dispensed with.

b. **With respect to Preference Shareholders**: There are nil Preference Shareholders, therefore, the necessity of convening meeting does not arise.

c. **With respect to Debenture Holder**: In view of consent affidavits from the sole i.e 1 Debenture Holder, having 100% voting share, been filed, convening the meeting of shareholders/members is dispensed with.

d. **With respect to Secured Creditors:** There are nil Secured Creditor, therefore the necessity of convening a meeting does not arise.

e. **With respect to Unsecured Creditors**:

i. There are Sixty-Four ('77') Unsecured Creditors aggregating to the value of Rs.203,12,39,075/- in the Applicant Transferee Company as on 31.10.2022.

ii. From the submissions averred by the Applicant Companies and documents placed on record, we find that the amongst Applicant Transferor Companies is the wholly owned subsidiaries of the Applicant Company and the scheme for amalgamation provides for no issue of equity shares to the members of the Applicant Transferor Companies, being a wholly owned subsidiary of the Transferee Company.

iii. Applicant Companies submitted that the, said Scheme does not envisage any compromise or arrangement with the Creditors of the Applicant Companies as all the Creditors will be paid in full as and when their respective amounts fall due in the usual course.

iv. Further, on the perusal of the audited financial of the applicant companies as on 31.10.2022, and the certificate from the certificate dated 17.03.2023 from Chartered Accountant certifying the positive net worth of the applicant companies on the basis of the financial statements of the Applicant Companies, we are of the considered view that the Unsecure Creditors of the Transferee Company, are not likely to be affected by the Scheme.

v. The same view is taken by the Hon'ble NCLAT in **'Ericsson India Private Limited' in Company Appeal (AT) No. 148 of 2021 wherein the Hon'ble NCLAT observed that '***as the merger is of a Wholly Owned SubsidiaryCompany into its holding Company, no shares would be allotted as consideration pursuant to the merger; the proposed Scheme will not result in any dilution in the Shareholding of the Shareholders of the 'Transferee Company', the net worth of the 'Transferee Company' is positive, and 'Unsecured Creditors' are paid off in the ordinary course of business and their liability is not affected as it is neither reduced nor extinguished, the meeting of the shareholders and creditors of the Transferee Company may be dispensed with.*

vi. **The Hon'ble NCLAT in 'Mohit Agro Commodities Processing Pvt Ltd. &Ors.' in Company Appeal (AT) No. 59 of 2021 Judgement dated 28.06. 2021** held that *"in the present matter the amalgamation sought for is between a* ***Wholly Owned Subsidiary and the Holding Company;*** *Further, observes that the rights and liabilities of secured and unsecured creditors were not getting affected in any manner by way of the proposed scheme as no new shares were being issued by the Transferor company, and no compromise was offered to any creditor of the Transferee company. Thus,*

reiterates that when the Transferor and Transferee Company involve a parent Company and a Wholly Owned Subsidiary, the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors can be dispensed with, as the facts of this case substantiate that the rights of the Equity Shareholders of the Transferee Company are not being affected.

15. Notice of this application shall also be served on the following:

a) Regional Director, Ministry of Corporate Affairs, B-2 Wing, 2 Floor, Paryawaran Bhavan, CGO Complex, New Delhi-110003;

b) Registrar of Companies at 4th floor, IFCI Tower, 61, Nehru Place, NewDelhi-110019;

c) Official liquidator, Lok Nayak Bhavan, 8th Floor, Khan Market, New Delhi-110001;

d) Income Tax Department, Income Tax Office, Additional Commissioner of Income Tax, Special Range 4, Central Revenue Building, IP Estate, New Delhi-110002. The notices to Income Tax Authorities shall disclose sufficient

details like PAN, ward numbers and assessing officers so that timely and proper reply may be filed.

e) Any other sectoral regulators required to be served.

16. The application stands allowed on the aforesaid terms and hence, disposed of.

Sd/-	**Sd/-**
(DR. BINOD KUMAR SINHA)	**(MAHENDRA KHADELWAL)**
MEMBER (TECHNICAL)	**MEMBER (JUDICIAL)**